Stock Report | **October 21, 2023** | ENXTPA Symbol: **ORA FP**

Orange S.A.

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
BUY ★★★★☆	EUR 10.84 (as of market close Oct 20, 2023)	EUR 12.50	EUR	Large-Cap Value

Equity Analyst Adrian Ng, CFA

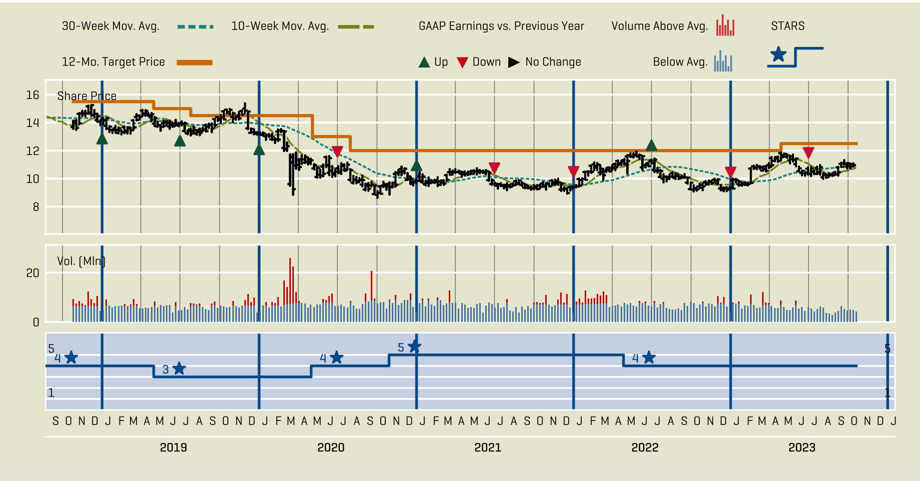
GICS Sector Communication Services
Sub-Industry Integrated Telecommunication Services

Summary Orange offers fixed-line and wireless telephony, multimedia, Internet, data transmission, cable television, and value-added services, both in France and abroad.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**EUR 11.87 - 9.1**	Oper.EPS2023**E**	**EUR 1.20**	Market Capitalization[B]	**EUR 28.81**	Beta	**0.25**
Trailing 12-Month EPS	**EUR 0.6**	Oper.EPS2024**E**	**EUR 1.25**	Yield [%]	**6.46**	3-yr Proj. EPS CAGR[%]	**12**
Trailing 12-Month P/E	**18.09**	P/E on Oper.EPS2023**E**	**9.03**	Dividend Rate/Share	**EUR 0.7**	SPGMI's Quality Ranking	**B**
EUR 10K Invested 5 Yrs Ago	**10,538.0**	Common Shares Outstg.[M]	**2,659.00**	Trailing 12-Month Dividend	**EUR 1.0**	Institutional Ownership [%]	**30.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Adrian Ng, CFA** on Jul 28, 2023 03:36 AM ET, when the stock traded at **EUR 10.51**.

Highlights

- Orange's H1 2023 revenue rose 2.0% LFL, driven by growth in retail services (+3.6%) through all regions the Group operates in, offset by declines in Wholesale revenue in France (-7.9%) and the rest of Europe (-7.1%) on regulatory reductions. Orange is now looking to turn around France after seeing a strong rebound in Spain. Africa and Middle East grew a sharp 10.5% with rapid growth in the four growth engines of mobile data (+16.7%), fixed broadband (+16.8%), Orange Money (+25.5%), and B2B (+14.0%). Revenues from Totem, its towerco subsidiary, grew 4.3% in the period.
- H1 2023 EBITDAaL (EBITDA after Leases) increased 0.8% to EUR5,895 million, within our expectation and driven by a recovery in Spain. EBITDAaL is expected to accelerate later in the year, helping the company reach its targeted growth for slight growth in EBITDAaL in 2023. Capex was down 5.7% to EUR3,154 million in H1 2023, within its target for a significant reduction in 2023.
- As Orange enters into 2023, we see it increasingly likely that it will meet its guidance as Spain stabilizes, roaming revenues recover, and service revenues remain solid. Our 2023 and 2024 EPS estimates are EUR1.20 and EUR1.25, respectively.

Investment Rationale/Risk

- Our recommendation is 4-STARS (Buy). We believe Orange shares are attractive given that the challenging operating and regulatory environment across Europe has already been priced in, Orange's cost cutting efforts will lend support to margins, and the potential monetization of its tower assets, which is valued around EUR10 billion, raising cash for investments. Orange also beat out rival Vodafone in merging its Spanish operations with MasMovil, which in our opinion, will prove complementary while rationalizing the competitive market. The Group is committing to its dividend floor of EUR0.7 per share, representing an attractive yield of near 7% at current prices.
- Key downside risks that may prompt us to trim our target price and/or recommendation include: (i) intensification of competition in the company's key European markets, (ii) more-onerous regulatory pressures, and (iii) worse-than-expected economic conditions.
- Our 12-month target price of EUR12.50 represents a 2023 consensus EV/EBITDA of 5.3x, which is comparable to its historical EV/EBITDA levels of around 5x. We think the valuation is fair as it balances Orange's improving EBITDA margin with macro headwinds.

Analyst's Risk Assessment

LOW	**MEDIUM**	HIGH

Our risk assessment reflects our view that Orange offers an industry average risk profile with a strong balance sheet and core domestic position, partially compensated by a historically more aggressive M&A strategy.

Revenue/Earnings Data

Revenue (Million EUR)

	1H	2H	Year
2024	--	--	**E** 44,200
2023	21,545	--	**E** 44,000
2022	21,297	22,174	43,471
2021	20,867	21,655	42,522
2020	20,769	21,501	42,270
2019	20,573	21,665	42,238

Earnings Per Share (EUR)

	1H	2H	Year
2024	--	--	**E** 1.25
2023	0.30	--	**E** 1.20
2022	0.42	0.30	0.86
2021	-1.09	1.00	0.00
2020	0.29	1.64	1.71
2019	0.33	0.75	1.02

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (EUR)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.3000	Jul 26	Dec 04	Dec 05	Dec 06 '23
0.4000	Aug 01	Jun 05	Jun 06	Jun 07 '23
0.3000	Feb 18	Dec 05	Dec 06	Dec 07 '22
0.4000	Jun 21	Jun 07	Jun 08	Jun 09 '22
0.3000	Feb 23	Dec 13	Dec 14	Dec 15 '21
0.3000	Feb 18	Jun 15	Jun 16	Jun 17 '21

Dividends have been paid since 2001 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.

Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Orange S.A.

Business Summary May 02, 2023

CORPORATE OVERVIEW. Orange, formerly France Telecom, provides consumer, business, and other telecommunication operators with a range of services, including fixed and mobile telecommunications, data transmission, Internet and multimedia, and other value-added services. It operates globally under the Orange brand name. Orange is listed since 1997 on Euronext Paris (ENXTPA) and on the New York Stock Exchange (NYSE). The French state owns 25% of the company. Orange's largest revenue segments include France, which contributed 43.7% of 2020 revenue; Europe, 25%; and Africa and the Middle East, 13.8%. Its Enterprise segment, which offers business services (mostly in France), contributed 18.5% of 2020 revenue, with its International Carriers & Shared Services segment accounting for the balance. The company has around 150,000 employees worldwide now. Orange is one of the largest operators of mobile and internet services in Europe and Africa, and a global leader in corporate telecommunication services.

CORPORATE STRATEGY. Orange has embarked on a multi-year strategy branded "Essentials2020" with the goal of leveraging its network capabilities in an era of increasing demand for data and content. In order to realize this ambition, it made a series of targeted investments in its networks between 2015 and 2018, spending over EUR30 billion in capex through the period. Clear priority was given to investments in high-speed broadband in order to respond to the explosion in traffic and meet customer expectations. These will allow Orange to develop broadband services, whether fixed or mobile, as well as convergence packages in Europe.

CORPORATE ACTION. Orange has reshuffled its portfolio over the last few years to concentrate on higher margin activities. In 2013, Orange sold its Austrian assets to Hutchison. In 2014, Orange acquired Jazztel in Spain, a fixed-line broadband operator, to complement its mobile offering. Orange and Deutsche Telekom combined their U.K. assets to form EE, which was later sold to BT Group on January 29, 2016. In Belgium, Orange owns a majority stake in local mobile player Mobistar, now rebranded as Orange Belgium. We think a deal to consolidate its market position in Africa would be welcomed favorably as it would reduce the dependency on French revenues.

FINANCIAL TRENDS. In the 5-year period ending 2022, Orange grew its revenue by a CAGR of 1.3% but has an EBITDA decline of 1.3% over the period as it navigates challenging markets. The Group is committing to its dividend floor of EUR0.7 per share.

Corporate information

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N/A

Website
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Officers

CEO & Executive Director
C. Heydemann

Independent Non-Executive Chairman of Board
J. Aschenbroich

Group Chief Financial Officer
L. Martinez

Chief Technology & Innovation Officer
B. Zerbib

Board Members

A. Bompard
A. Heilbronner
A. Lange
C. Fornaro
C. Heydemann
F. Sanchez
G. Grapinet
J. Aschenbroich
M. Nguer
M. Vallee
S. Crozier
T. Chatelier
T. Sommelet
V. D. Beaulieu-James
V. Gimeno

Domicile
France

Founded
N/A

Employees
136,430

Stockholders
N/A

Auditor
Deloitte & Touche, KPMG

Orange S.A.

Quantitative Evaluations

Fair Value Rank	**NR**	1 / 2 / 3 / 4 / 5 (LOWEST – HIGHEST). Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).
Fair Value Calculation	**N/A**	
Volatility	**NA**	LOW / AVERAGE / HIGH
Technical Evaluation	**BULLISH**	Since September, 2023, the technical indicators for ORA FP have been BULLISH"
Insider Activity	**NA**	UNFAVORABLE / NEUTRAL / FAVORABLE

Expanded Ratio Analysis

	2022	2021	2020	2019
Price/Sales	0.57	0.59	0.62	0.83
Price/Tangible Book Value	-3.93	-3.68	-3.17	-3.31
Price/Pretax Income	6.42	14.38	6.21	7.55
P/E Ratio	12.74	NM	5.71	12.84
Avg. Diluted Shares Outstg. (M)	2,686.83	2,657.76	2,683.79	2,687.98

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	821.03	NM	3.09
Revenue	2.23	0.96	1.25
Ratio Analysis (Annual Avg.)			
Net Margin (%)	4.94	5.63	5.75
% LT Debt to Capitalization	40.18	39.71	40.24

Company Financials Fiscal year ending Dec 31

Per Share Data (EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-2.36	-2.55	-3.07	-3.96	-3.99	-3.86	-3.89	-3.96	-2.66	-4.72
Free Cash Flow	0.92	0.94	1.56	0.67	0.70	1.00	0.10	0.66	1.02	0.43
Earnings	0.73	0.00	1.71	1.02	0.62	0.58	0.10	0.72	0.36	0.73
Earnings (Normalized)	0.96	0.66	0.94	1.03	0.78	0.85	0.75	0.74	0.77	0.96
Dividends	0.70	0.70	0.70	0.50	0.70	0.65	0.60	0.60	0.60	0.80
Payout Ratio (%)	96.64	NM	38.88	71.01	110.00	109.00	56.74	70.17	200.00	70.15
Prices: High	11.94	10.74	13.54	15.38	15.25	15.80	16.67	16.98	14.93	10.70
Prices: Low	9.08	8.93	8.63	13.08	13.32	13.50	12.38	12.21	8.70	7.03
P/E Ratio: High	16.40	NM	7.90	15.00	24.40	27.20	NM	23.60	41.50	14.70
P/E Ratio: Low	12.50	NM	5.10	12.80	21.30	23.20	NM	17.00	24.20	9.70

Income Statement Analysis (Million EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenue	43,471	42,522	42,270	42,238	41,381	40,859	40,708	40,236	39,445	40,981
Depreciation + Amortization	8,649	8,639	8,573	8,399	7,047	6,846	6,728	6,465	6,038	6,052
Operating Expenses	2,373	2,521	2,759	2,642	3,789	3,709	3,670	3,717	3,490	3,711
Effective Tax Rate (%)	32.60	55.30	-20.20	31.00	37.80	34.30	52.30	20.50	53.60	39.20
Net Income	2,146	233.00	4,822	3,004	1,954	1,843	2,813	2,652	925.00	1,873
Net Income (Normalized)	2,590	1,761	2,518	2,771	2,067	2,297	1,980	2,001	2,021	2,517

Balance Sheet and Other Financial Data (Million EUR)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Gross Property	124,976	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net Property	39,576	38,186	36,084	35,123	27,693	26,665	25,912	25,123	23,314	23,157
Capital Expenditures	8,777	8,749	8,546	8,422	7,642	7,527	8,492	7,771	4,206	4,174
Capital Expnd to Revenue (%)	20.20	20.60	20.20	19.90	18.50	18.40	20.90	19.30	10.70	10.20
% Long Term Debt of Capitalization	40.20	40.60	38.30	42.50	39.50	40.00	43.40	44.00	45.10	48.40
Capitalization: Common	31,784	32,341	34,557	31,875	30,669	30,975	31,241	30,907	29,559	24,349
Capitalization: Preferred	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Fixed Charges Coverage	4.99	3.94	4.48	4.28	3.54	3.94	3.62	3.10	3.24	3.61
% Operating Ratio	29.87	27.38	30.49	30.89	28.96	29.83	29.57	29.27	29.42	30.40
% Net Income Margin	4.94	0.55	11.41	7.11	4.72	4.51	6.91	6.59	2.34	4.57
% Return on Invested Capital	4.58	3.51	4.46	5.03	4.57	4.95	4.89	4.93	5.27	6.08
% Return on Common Equity	6.10	0.00	13.70	8.70	5.40	5.00	0.90	6.30	3.60	7.90

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Industry Outlook

The European Telecoms industry includes traditional telecommunication services and alternative carriers. This includes well-established telecoms such as Deutsche Telekom, Orange, Vodafone, and Telefonica. The industry is considered defensive with high barriers to entry and slow and steady cash generating abilities. However, it has seen some disruption with the rise of MVNOs and other discount operators.

We are neutral on the European Telecoms Services industry. Industry revenues continued on a recovery trajectory in 2023 as roaming revenues returned in the year. We believe heavier travel in the second half of the year will give a better indication of post-Covid-19 performance for the industry. Equipment sales have not shined as much in the year so far, as recent equipment launches have not been as exciting. As a result, margins have improved slightly in the year as the lower margins of equipment sales have historically depressed industry margins. The industry is still looking towards cost controls to protect margins as pricing power in the industry remains rather weak.

The capex needs of European telecom companies will remain high in 2023, with many telcos increasingly racing to widen their 5G coverage. On the other hand, cash flows are likely to improve in the industry overall as 5G auctions have concluded. There have been slight improvements to ARPU in the industry as 5G services get rolled out. We think the improvements in ARPU will remain limited and the impact will be lower than the market expects as fast internet becomes more commoditized. On the other hand, we do believe that telcos that are faster to deploy 5G will have better retention and customer adds.

Market interest has shifted from the infrastructure assets of telcos (towers and cable assets), which has proven to have strong monetization potential, to industry consolidation as it became increasingly challenging in many of Europe's saturated telco markets. In 2023, Orange and MasMovil announced the merging of their Spanish operations, while Vodafone and Three U.K. announced plans to merge their U.K. operations. Both planned mergers are expected to face heavy regulatory scrutiny, and we believe the results will likely influence the prevalence of M&A deals in the industry moving forward.

Overall, we are neutral on the European Telecoms industry as we think the challenges faced by the industries within are balanced by attractive valuations.

/ Adrian Ng, CFA

Sub-Industry: Integrated Telecommunication Services Peer Group*: Integrated Telecommunication Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Orange	**ORA FP**	**ENXTPA**	**EUR**	**10.84**	**28,867.0**	**-3.7**	**14.3**	**18.0**	**N/A**	**6.5**	**6.4**	**39.7**
BT Group	BTA LN	LSE	GBP	1.14	11,144.0	-6.1	-9.2	6.0	N/A	6.8	12.8	43.6
ITV Plc	ITV LN	LSE	GBP	0.64	2,562.0	-11.9	-1.5	7.0	N/A	7.8	15.8	19.3
KPN	KPN NA	ENXTAM	EUR	3.13	12,238.0	-3.2	14.1	16.0	N/A	4.7	24.9	54.9
Mediaset	MFEB IM	BIT	EUR	0.56	1,218.0	-8.4	18.5	7.0	N/A	8.9	8.3	21.7
Métropole Télévision SA	MMT	N/A	N/A	11.95	1,503.0	-1.7	11.5	9.0	N/A	8.4	15.2	9.3
Prosieben Sat.1 Media	PSM GR	XTRA	EUR	5.39	1,223.0	-21.0	-23.2	7.0	N/A	0.9	-6.9	56.2
Proximus	PROX BB	ENXTBR	EUR	8.01	2,587.0	1.3	-17.3	7.0	N/A	10.5	12.2	36.3
Publicis	PUB FP	ENXTPA	EUR	71.88	18,042.0	-0.2	25.8	14.0	N/A	4.0	14.3	19.9
Telefonica	TEF SM	BME	EUR	3.74	21,276.0	-8.6	12.2	15.0	N/A	6.5	6.6	43.5
Vivendi	VIV FP	ENXTPA	EUR	8.49	8,087.0	2.0	4.7	NM	N/A	2.9	-5.1	13.0

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Analyst Research Notes and other Company News

July 27, 2023
01:03 AM ET... CFRA Retains Buy Opinion on Shares of Orange (ORA FP 10.51****):
We retain our Buy opinion on Orange with the same target price of EUR12.50, implying a 2023 consensus EV/EBITDA of 5.3x, which is comparable to its historical EV/EBITDA levels of around 5x. We keep our EPS forecasts unchanged. Orange's H1 2023 revenue rose 2.0% LFL, driven by growth in retail services (+3.6%) through all regions the Group operates in, offset by declines in Wholesale revenue in France (-7.9%) and the rest of Europe (-7.1%) on regulatory reductions. Orange is now looking to turn around France after seeing a strong rebound in Spain. Africa and Middle East grew a sharp 10.5% with rapid growth in the four growth engines of mobile data (+16.7%), fixed broadband (+16.8%), Orange Money (+25.5%), and B2B (+14.0%). H1 2023 EBITDAaL (EBITDA after Leases) increased 0.8% to EUR5,895 million, within our expectation and driven by a recovery in Spain. We remain positive on its high dividend yield and the good turnaround in Spain. / Adrian Ng, CFA

April 28, 2023
11:50 AM ET... CFRA Retains Buy Opinion on Shares of Orange S.A. (ORA FP 11.83****):
We retain our Buy opinion on Orange with a higher target price of EUR12.5 from EUR12 implying a 2023 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. Orange's Q1 2023 revenue rose 1.3% driven by growth in retail services (+2.8%) due particularly to repricing in Europe and growth drivers in Africa and the Middle East. Q1 2023 EBITDAaL (EBITDA after Leases) increased 0.5% to EUR2,590 million, within our expectation as the margin for telecom activities is generally lower in the first quarter. EBITDAaL is expected to accelerate later in the year, helping the company reach its target for slight growth in EBITDAaL in 2023. Capex was down 4.9% to EUR1,493 million in Q1 2023, within its target for a significant reduction in 2023. We think it's increasingly likely that it will meet its guidance as Spain stabilizes, roaming revenues recover, and service revenues remain solid. / Adrian Ng, CFA

February 17, 2023
04:36 AM ET... CFRA Retains Buy Opinion on Shares of Orange (ORA FP 10.62****):
We retain our Buy opinion on Orange with the same target price of EUR12, implying a 2023 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. We retain our 2023 EPS estimate of EUR1.20 and introduce our 2023 EPS estimate of EUR1.25. Orange's 2022 revenue was largely flat (+0.6%), with strong performance in retail services driven by price increases. 2022 EBITDAaL (EBITDA after Leases) increased 2.5% (Q4 2022: +8.5%) to EUR12,963 million, within our expectation and outpacing the revenue growth. As expected, EBITDAaL accelerated later in the year on the reversal of underlying effects, helping the company reach its targeted growth, albeit at the lower end. With the situation in Spain improving and a projected dividend yield of around 7%, we remain positive on the shares of Orange. / Adrian Ng, CFA

October 26, 2022
04:37 AM ET... CFRA Retains Buy Opinion on Shares of Orange (ORA FP 9.41****):
We retain our Buy opinion on Orange with the same target price of EUR12, implying a 2022 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. Orange's Q3 2022 revenue rose 1.0%, driven by higher equipment sales and reduced impact from falling rates for call terminations. This led to a largely flat 9M 2022 revenue (+0.4%) driven by retail services and equipment sales. 9M 2022 EBITDAaL (EBITDA after Leases) increased 0.5% (Q3 2022: +0.2%) to EUR9.5 billion, within our expectation and slightly outpacing the revenue rise. As Orange enters into 2023, we see it increasingly likely that it will meet its guidance as Spain stabilizes, roaming revenues recover, and service revenues remain solid. We remain positive on the shares given its projected 7% dividend yield. / Adrian Ng, CFA

July 29, 2022
06:18 AM ET... CFRA Retains Buy Opinion on Shares of Orange (ORA FP 9.93****):
We retain our Buy opinion on Orange with the same target price of EUR12, implying a 2022 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. Orange's Q2 2022 revenue declined 0.4% as Q2 2022 benefitted from the effect of fiber network co-financing receipts. This led to a largely flat H1 2022 revenue driven by retail services (+2.0%) and equipment sales (+3.4%). H1 2022 EBITDAaL (EBITDA after Leases) increased 0.7% CC (Q2 2022: +0.5%) to EUR5.9 billion, within our expectation and outpacing the revenue rise. EBITDAaL is expected to accelerate later in the year on the reversal of underlying effects, helping the company reach its 2.5% to 3% targeted growth. Orange also beat out rival Vodafone in merging its Spanish operations with MasMovil, which in our opinion, will prove complementary while rationalizing the competitive market. / Adrian Ng, CFA

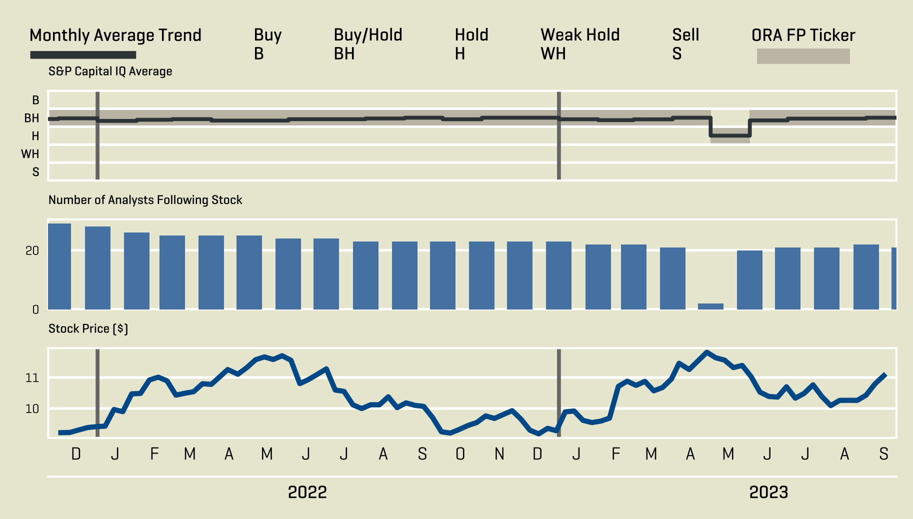
April 27, 2022
04:32 AM ET... CFRA Lowers Opinion on Shares of Orange S.A. to Buy from Strong Buy (ORA FP 11.25****):
We lower our opinion on Orange to Buy from Strong Buy with the same 12-month target price of EUR12, implying a 2022 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. Orange's first quarterly report since the takeover of its new CEO Christel Heydemann has been strong, with stronger performances in the retail segment. Q1 2022 revenue rose 0.7% maintaining the rebound from 2021. France declined 0.7% in the quarter as the faster pace of retail services growth offset a decline in Wholesale with a similar pattern in Spain and the rest of Europe. Q1 2022 EBITDAaL (EBITDA after Leases) increased 1.0% CC to EUR2.6 billion, within our expectation and outpacing the revenue rise. EBITDAaL is expected to accelerate later in the year, helping the company reach its 2.5% to 3% targeted growth. Capex was down 5.8% to EUR1,610 million in the quarter, on its way to a capex of up to EUR7.4 billion in 2022. / Adrian Ng, CFA

February 18, 2022
08:13 AM ET... CFRA Maintains Strong Buy Opinion on Shares of Orange S.A. (ORA FP 10.93*****):
We maintain our Strong Buy opinion on Orange with the same 12-month target price of EUR12, implying a 2022 consensus EV/EBITDA of 5.1x, which is comparable to its historical EV/EBITDA levels of around 5x. Orange's 2021 revenue rose 0.8% rallying back to growth in the final quarter of the year. France revenues declined 1.6% in the year but would be virtually stable excluding co-financing as growth accelerated in retail services. 2021 EBITDAaL (EBITDA after Leases) declined 0.5% to EUR12,566 million with less co-financing received in France, excluding which, EBITDA would have grown 1.5%. Capex was down slightly to EUR1,709 million in the quarter, mainly on the slowdown co-financing in France. We raise our 2022 EPS estimate to EUR1.15 (EUR1.10) and introduce a 2023 EPS estimate of EUR1.20. For 2022 Orange is guiding for EBITDAaL to increase by 2.5% to 3% and net debt to EBITDA to remain unchanged around 2x. We remain positive as we see positive M&A optionality for its Spanish operations. / Adrian Ng, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Orange S.A.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	11	52	10	9
Buy/Hold	5	24	5	5
Hold	3	14	3	3
Weak hold	1	5	2	2
Sell	1	5	1	1
No Opinion	0	0	1	1
Total	21	100	22	21

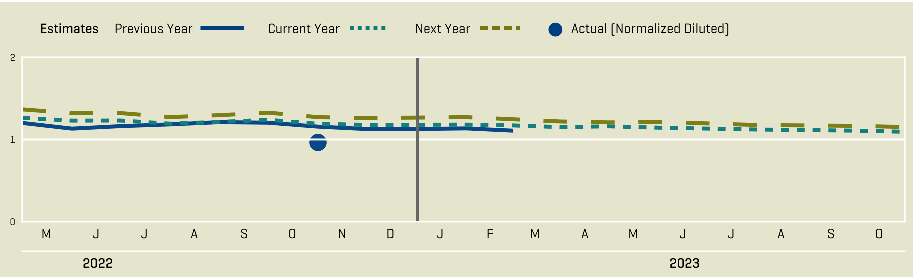
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that ORA FP will earn EUR 1.11. For fiscal year 2024, analysts estimate that ORA FP's earnings per share will grow by 5.01% to EUR 1.16.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	1.16	1.46	0.98	10	9.39
2023	1.11	1.42	0.91	10	9.86
2024 vs. 2023	**▲ 5%**	**▲ 3%**	**▲ 7%**	**N/A%**	**▼ -5%**
Q3'23	0.46	0.46	0.46	N/A	23.71

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:
Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:
Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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